

24STCV01784 24STCV01784

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Case Number: 24STCV01784 Hearing Date: August 31, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Christian Derefield v. Occupational Health Centers of California

Case

No.: 24STCV01784

Hearing Date:

August 31, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$383,333.33 for attorney fees to Class Counsel, Justice For Workers, P.C.; (2) \$27,018.61 for attorney costs to Class Counsel; (3) enhancement payment of \$7,500 to the class representative, Christian Derefield; (4) \$45,000 (75% of \$60,000 PAGA penalty) to the LWDA; and (5) \$13,590 for settlement administration costs to Apex Class Action, LLC.

Plaintiff's counsel shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including

the class definition, release language, and the name of the class member who requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court sets a non-appearance date of _____ for review of the final report, which is due at least five court days beforehand.

BACKGROUND

Plaintiff

Christian Derefield sues his former employer, Defendant Occupational Health Centers of California, a Medical Corporation, for alleged wage and hour violations. Defendant operates occupational health and medical centers throughout the State of California. Plaintiff seeks to represent a class of Defendant's current and former non-exempt employees.

On January 23, 2024, Plaintiff sent a notice letter under PAGA to the Labor and Workforce Development Agency ("LWDA") and gave notice to Defendant.

On

the same day, January 23, 2024, Plaintiff filed a Class Action Complaint against Defendant for (1) Minimum Wage Violations; (2) Overtime Wage Violations; (3) Meal Period Violations; (4) Rest Period Violations; (5) Wage Statement Penalties; (6) Waiting Time Penalties; (7) Reporting Time Premiums; (8) Failure to Reimburse Necessary Business Expenses; and (9) Unfair Competition.

On

March 29, 2024, Plaintiff filed the operative First Amended Complaint ("Operative Complaint") adding a cause of action for Civil Penalties Under PAGA against Defendant.

On September 10, 2025, the Parties participated in a full-day mediation with Steven Serratore, Esq., which ultimately resulted in settlement. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on December 15, 2025.

On April

22, 2026, after the parties filed further briefing to address concerns raised

by the Court, preliminary approval of the settlement was granted.

Notice was given to

the Class Members as ordered (see Declaration of Stacey Shim ("Shim Decl.")). Now before the Court is the Motion for Final Approval of the Settlement.

SETTLEMENT

CLASS DEFINITION

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"Class" shall mean all current and former non-exempt employees who worked for Defendant within the State of California during the Class Period. (§1.4)

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"Class

Period" means the period from January 23, 2020 to the earlier of November 9, 2025 or the date of Preliminary Approval. (§1.11)

.

"PAGA

Members" means all current and former non-exempt employees who worked for Defendant within the State of California during the PAGA Period. (§1.32)

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"PAGA

Period" means the period from January 23, 2023 to the earlier of November 9, 2025 or the date of Preliminary Approval. (§1.30)

TERMS

OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount ("GSA") is \$1,150,000, non-reversionary.
(§3.1)

o Escalator Clause: Based on its records,

Defendant estimates that, as of the date of this Settlement Agreement, (1) there are 1,155 Class Members and 53,700 total Workweeks during the Class Period and (2) there were 706 PAGA Members who worked 16,769 PAGA Pay Periods during the PAGA Period. If the total Workweeks during the Class Period is 10% higher (59,070), then Defendant shall have the option to either: (1) de-escalate the settlement so that the Class Period ends on the date that the Workweeks count totals no more than 53,700 and the PAGA Period will end on the same date as the Class Period; or (2) permit the Gross Settlement Amount to be increased proportionally by the Workweeks in excess of 59,070 (the "Escalator Clause"). For example, if the number of Workweeks is 11% higher, the Gross Settlement Amount will increase by 1%. If the Escalator Clause is triggered, prior to the hearing on Preliminary Approval, Defendant shall choose to either change the end date of the Class Period or increase the Gross Settlement Amount in accordance with the Escalator Clause such that there is a date certain on the Class Period for preliminary approval. (¶18)

o At final approval, the settlement administrator represents that the total number of workweeks worked by Participating Class Members during the Class Period is 56,760, which does not trigger the escalator clause. (Shim Decl., ¶15.)

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The

Net Settlement Amount ("Net") estimated at preliminary approval (\$653,076.67) is the GSA minus the following:

o Up to \$383,333.33

(33 1/3%) for

attorney fees (¶13.2.2);

o Up to \$30,000 for litigation costs (Ibid.);

o Up to \$10,000 for a Service Payment to the Named Plaintiff (¶13.2.1);

o Up to \$13,590 for settlement administration costs (¶13.2.3); and

o Payment of \$60,000 PAGA penalty (\$45,000 or 75% to the LWDA). (¶13.2.5)

Defendant

will separately pay any and all employer payroll taxes owed on the Wage

Portions of the Individual Class Payments. (¶3.1)

There

is no claim form requirement. (¶3.1)

Individual Settlement Payment Calculation: Each

Participating Class Member will receive an Individual Class Payment calculated

by (a) dividing the Net Settlement Amount by the total number of Workweeks

worked by all Participating Class Members during the Class Period and (b)

multiplying the result by each Participating Class Member's Workweeks. (¶3.2.4) Non-Participating Class Members

will not receive any Individual Class Payments. The Administrator will retain

amounts equal to their Individual Class Payments in the Net Settlement Amount

for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

o PAGA Payments: The Administrator will

calculate each Individual PAGA Payment by (a) dividing the amount of the PAGA

Members' 25% share of PAGA Penalties (\$15,000.00) by the total number of PAGA

Pay Periods worked by all PAGA Members during the PAGA Period and (b)

multiplying the result by each PAGA Member's PAGA Pay Periods. (¶3.2.5.1)

o Tax Allocation: Participating Class Member's Individual

Class Payments will be allocated as follows: 10% as wages, 90% as interest and

penalties. (¶3.2.4.1) The Administrator will report the Individual PAGA

Payments on IRS 1099 Forms. (¶3.2.5.2)

Response Deadline: "Response Deadline"

means 45 days after the Administrator mails Notice to Class Members and PAGA

Members and shall be the last date on which Class Members may: (a) fax, email,

or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail

his or her Objection to the Settlement. Class Members to whom Notice Packets

are remailed after having been returned undeliverable to the Administrator

shall have an additional 14 calendar days beyond the date the Response Deadline

has expired. (¶1.43) The same deadline applies to the submission of workweek

disputes. (¶7.6)

o

If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 10% of the total of all Class Members, Defendant may, but is not obligated, elect to withdraw from the Settlement.

(¶9)

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Funding

of Settlement: Defendant shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than 60 days after the Effective Date. (¶4.3)

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Disbursement:

Within 14 days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (¶4.4)

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Uncashed Settlement Checks: The face of each check shall prominently state the date (180 days after the date of mailing) when the check will be voided. (¶4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (¶4.4.3)

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The

settlement administrator will be Apex Class Action LLC. (¶1.2)

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The proposed Settlement

Agreement was submitted to the LWDA on December 15, 2025. (Sung Decl. ISO Prelim, Exhibit 5.)

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Releases of Claims. Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Participating Class Members, and PAGA Members will release claims against all Released Parties as follows: (§15)

o Release by

Participating Class Members: All Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from all causes of action and claims that were alleged in the Action or reasonably could have been alleged based on the facts and legal theories contained in the Operative Complaint, arising during the Class Period, including all of the following claims for relief: (a) all class claims stating violations of California Labor Code sections 201, 202, 203, 204, 210, 226(a), 226.7, 245-248.5, 510, 512(a), 516, 558, 1174(d), 1182.12, 1194, 1194.2, 1197, 1198, 1199, and 2802; (b) all claims for unpaid wages, including claims for minimum, overtime, and double-time wages, the alleged failure to pay for all time worked, the alleged failure to pay for off the clock work, the alleged failure to pay for all hours worked at correct rates, including overtime at the correct rates, the alleged improper rounding of time entries, the alleged failure to pay reporting time pay and the alleged unlawful deductions from earned wages; (c) all claims for meal period violations, including claims for late, short, interrupted, rounded, and missed meal periods and the failure to pay premiums at all, or at the correct regular rates, and the alleged failure to properly record meal periods; (d) all claims for rest break violations, including claims for late, short, interrupted, missed, or otherwise improperly controlled rest breaks and the failure to pay premiums at all or at the correct regular rates; (e) all claims for unreimbursed expenses, including, but not limited to, expenses incurred for personal cell phone usage and mileage; (f) all claims for improper or inaccurate itemized wage statements, including any alleged violations of Labor Code Section 226(a)(1)-(9) based on the facts and legal theories contained in the Operative Complaint, including the allegation

that the wage statements lacked the total number of hours worked and corresponding rates and the proper legal entity of the employer, and including claims for injuries suffered therefrom; (g) all claims for the untimely payment of wages, including regular, overtime, premium wages, paid sick leave, and reporting time pay to employees under sections 204 and 210 of the Labor Code; (h) all claims for the untimely payment of final wages and associated waiting time penalties under sections 201 to 203 of the Labor Code Section; (i) all claims for unpaid sick leave, including claims that paid sick leave was not paid at the correct regular rate of pay; and (j) all claims under the Business & Professions Code (including Section 17200 et seq.) premised on the facts, claims, and causes of action alleged in the Operative Complaint ("Released Class Claims"). Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period.

(¶5.2)

o Release by Plaintiff,

the State of California and the LWDA: Effective on the date when Defendant fully funds the entire Gross Settlement Amount, Plaintiff, as the PAGA Representative, the State of California and the Labor and Workforce Development Agency shall fully release and discharge Defendant and, the Released Parties from all causes of action and claims for civil penalties under the California Private Attorneys General Act of 2004 that were alleged or reasonably could have been alleged based on the facts and legal theories contained in the Operative Complaint and PAGA Notice, arising during the PAGA Period, including claims for civil penalties based on the following: (a) Minimum Wage Violations; (b) Overtime Wage Violations; (c) Meal Period Violations; (d) Rest Period Violations; (e) Wage Statement Penalties; (f) Waiting Time Penalties; (g) Reporting Time Premiums; (h) Failure to Reimburse Necessary Business Expenses; (i) civil penalties that could have been awarded pursuant to Labor Code sections 201, 202, 203, 204, 210, 226(a), 226.7, 245-248.5, 432.5, 510, 512(a), 516, 558, 1174(d), 1182.12, 1194, 1194.2, 1197, 1198, 1199, 2802, and the Industrial Welfare Wage Orders ("Released PAGA Claims"). Upon funding of the Gross Settlement Amount, Plaintiff and all PAGA Members will be forever barred from pursuing against Defendant and the Released Parties any and all Released PAGA Claims. PAGA Members, other than Plaintiff, will not be deemed to have released any individual wage and hour claims by virtue of this settlement.

(¶5.3)

§ “PAGA Notice” means

Plaintiff’s January 23, 2024 letter to Defendant and the LWDA providing notice pursuant to Labor Code section 2699.3, subd.(a). (¶1.33)

§ Because this portion

of the settlement resolves claims and an action brought pursuant to PAGA by Plaintiff acting as a proxy and as a Private Attorney General of, and for, the State of California and the LWDA, the Parties agree that no PAGA Member has the right to exclude himself or herself from the PAGA portion of the Settlement. PAGA Members will be bound by the terms of the Settlement Agreement, upon its approval by the Court, regardless of whether he or she cashes any Individual PAGA Payment received as a result of this Settlement. The Parties also agree that no PAGA Member has the right to object to the terms of the Settlement Agreement. (¶5.4)

o “Released Parties” means Defendant and

each of its past, present and/or future, direct and/or indirect, officers, members, managers, employees, agents, representatives, attorneys, executors, insurers, parent companies, subsidiaries, affiliates, divisions, consultants, subcontractors, predecessors, successors, assigns, joint venturers and stockholders, and all persons acting under, by, through, or in concert, with any of them, and each of them. (¶1.41)

o

Named Plaintiff will also provide a general release and CC § 1542 waiver. (¶5.1)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of

April 22, 2026 that the presumption of fairness should be applied. No facts have come to the Court’s attention that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 1,204 (Shim Decl., ¶5.)

Number of notice packets mailed: 1,204 (Id. at ¶7.)

Number of undeliverable notices: 3 (Id. at ¶9.)

Number of opt-outs: 1 (Id. at ¶11.)

Number of objections: 0 (Id. at ¶12.)

Number of participating class members: 1,203 (Id. at ¶13.)

Average individual payment: \$545.35 (Id. at ¶16.)

Highest individual payment: \$3,479.10 (Ibid.)

The Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and the LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$383,333.33 in fees and \$27,018.61 in costs. (Memo ISO Final at 13:27-28, 18:3-7.) The Settlement Agreement provides for up to \$383,333.33 (33 1/3%) in fees and \$30,000 in costs (¶3.2.2).

"Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 10-17.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents one-third of the gross settlement amount, which is the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ["Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery."].)

Class Counsel has provided information,
summarized below, from which the lodestar may be calculated:

Attorneys

Rates

Hours

Totals

William C. Sung

\$900

143.3

\$128,980.00

Tiffany L. Luu

\$550

76.6

\$42,130.00

Totals

219.9

\$171,100.00

(Declaration of William C. Sung ISO Final, ¶124.)

Counsel's percentage-based fee request is higher than the unadjusted lodestar, and would represent application of a multiplier of approximately 2.24x.

Here, the fee request represents a reasonable percentage of the total funds paid by Defendant. Notice of the fee request was provided to class members in the notice packet and no one objected. (Shim Decl., ¶12, Exhibit A.)

As for costs, Class Counsel is requesting a cost amount of \$27,018.61. This is less than the \$30,000 cap estimated at preliminary approval, which was not objected to. (Shim Decl., ¶12, Exhibit A.) Counsel represents that their costs include, but are not limited to: filing and service fees, mediation fee, and expert fee. (Sung Decl. ISO Final, ¶32, Exhibit 3.) The costs appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the recommendation is to award \$383,333.33 in fees and \$27,018.61 in costs.

D. Incentive Award

The class representative, Christian Derefield, seeks an enhancement payment of \$10,000 for his contributions to the action. (Memo ISO Final at 18:10-11.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they “should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class.”

(Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

Plaintiff represents that his contributions

to this litigation include: having discussions and meetings with his attorneys, discussing Defendant's wage and hour practices and his claims in this case, litigation strategy, updates on how the case was proceeding, the settlement, and how he could help the case and potential Class Members, and gathering and reviewing documents for use in the lawsuit. (Declaration of Christian Derefield ISO Final, ¶14.) He does not provide an estimate of his time spent on the case.

Based on the above,

as well as the benefits obtained on behalf of the class, the recommendation is to grant the enhancement payment in the amount of \$7,500 to Plaintiff.

E.

Settlement Administration Costs

The settlement

administrator, Apex Class

Action, LLC, is requesting \$13,590 for the costs of settlement administration. (Shim Decl.,

¶19.) This equals the estimate of \$13,590

provided for in the Settlement Agreement (¶3.2.3) and disclosed to class members in the Notice, to which there were no objections. (Shim Decl., ¶12, Exhibit

A.) Based on the above, the recommendation is to award costs in the requested amount of \$13,590.